

Circular C-03 — Cloud and Critical Outsourcing — Revised Compliance Obligations

Reference:	FRA/C/2025/003	Issue Date:	05 Feb 2025
Effective Date:	01 Jun 2025	Response Deadline:	31 Mar 2025
Issuing Authority:	Financial Regulatory Authority	Classification:	MANDATORY

1. Scope

This circular updates outsourcing obligations for all firms using cloud service providers (CSPs) or critical third-party vendors for regulated activities. It supersedes Circular FRA/C/2022/007 in full.

2. Registration

All material outsourcing arrangements must be registered in the Authority's Outsourcing Register within 30 days of contract execution. New arrangements must be pre-notified to the Authority at least 60 days before go-live.

3. Concentration Risk

Firms may not outsource more than 40% of critical operations to a single CSP. Firms currently exceeding this threshold must submit a diversification plan by 31 Mar 2025.

4. Exit Plans

A documented, annually-tested exit plan for each critical outsourcing arrangement is mandatory. The plan must demonstrate the ability to exit within 90 days without disruption to clients or regulatory obligations.